BKM INDUSTRIES LIMITED

Policy for Determination of Materiality of Events or Information

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Approving authority	Board of Directors
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Document control and approval record

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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- SEBI Listing Regulations, regulation 30 read with Schedule III
- SEBI master circular for compliance with the Listing Regulations dated 30 January 2026, as amended
- SEBI PIT Regulations for preservation and controlled handling of UPSI
- Companies Act, 2013 and applicable stock-exchange requirements

STATUTORY OVERRIDE
If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Current quantitative materiality test

For an event under paragraph B of Part A of Schedule III whose value or expected value can be determined, omission is material if the value or expected impact exceeds the lower of:

Measure	Threshold basis
Turnover	2% of turnover in the last audited consolidated financial statements
Net worth	2% of net worth in the last audited consolidated financial statements; disregard this limb if the arithmetic net worth is negative
Profit / loss after tax	5% of the average absolute value of profit or loss after tax in the last three audited consolidated financial statements (or available period if shorter)

- Qualitative criteria continue to apply: omission that is likely to discontinue or alter publicly available information, cause significant market reaction, or is considered material by the Board/authorised officer must be disclosed.
- The Company Secretary shall refresh the rupee-value threshold matrix after each annual audit and document every assessment.

Disclosure clock

Trigger	Maximum regulatory clock, unless a shorter specific clock applies
Board decision	Within 30 minutes after closure of the Board meeting; within 3 hours if the meeting closes after normal trading hours but more than 3 hours before the next trading session begins
Event emanating within the Company	As soon as reasonably possible and not later than 12 hours
Event not emanating within the Company	As soon as reasonably possible and not later than 24 hours
Schedule III / SEBI-specific event	The shorter event-specific period prescribed in Schedule III or the current SEBI master circular

- Delayed disclosure must state the explanation for delay where required.
- Material developments must be updated until closure; securities-law disclosures are first filed with the stock exchanges and then hosted on the website.
- Website copies remain available for at least five years and thereafter are archived under the Archival Policy.

Policy provisions

Preamble

BKM Industries Limited ("BKM" or the "Company") believes that transparency, timely communication and responsible corporate governance are fundamental to building and maintaining the trust of shareholders, investors, regulators, customers, employees and other stakeholders.

The Company recognizes that timely disclosure of material events and information enables stakeholders to make informed decisions and contributes to maintaining an orderly and fair securities market.

This Materiality of Events and Information Disclosure Policy ("Policy") has been framed in accordance with Regulation 30 read with Schedule III and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), as amended from time to time.

This Policy establishes a framework for identifying, evaluating, approving and disclosing material events and information concerning the Company.

The Company shall be guided by the principles of accuracy, timeliness, consistency, fairness and transparency while making disclosures under this Policy.

Policy Philosophy

The Company shall adopt a disclosure approach that goes beyond minimum regulatory compliance.

While determining materiality, the Company shall consider not only the financial impact of an event but also its potential effect on:

- Shareholder value;
- Investment decisions;
- Corporate reputation;
- Business continuity;
- Regulatory compliance;
- Strategic direction of the Company; and
- Stakeholder confidence.

Where there is reasonable doubt regarding materiality, the Company shall follow the principle that transparency serves the long-term interests of both investors and the Company.

Objectives

This Policy aims to:

- Ensure compliance with applicable disclosure requirements;
- Facilitate prompt identification and escalation of potentially material events;
- Ensure timely and accurate dissemination of information;
- Promote consistency in disclosure practices across the organization;
- Strengthen investor confidence through transparent communication; and
- Protect the interests of shareholders and other stakeholders.

Definitions

Unless the context otherwise requires:

- "Act" means the Companies Act, 2013 and rules made thereunder.
- "Board" means the Board of Directors of BKM Industries Limited.
- "Company" means BKM Industries Limited.
- "Key Managerial Personnel" or "KMP" shall have the meaning assigned under the Companies Act, 2013.
- "Material Event" or "Material Information" means any event or information that is required to be disclosed under Regulation 30 of the SEBI LODR Regulations.
- "SEBI LODR Regulations" means the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.
- "Stock Exchange(s)" means the recognized stock exchange(s) on which the securities of the Company are listed.

Authorized Persons

The Board authorizes the following officials ("Authorized Persons") to determine materiality and make disclosures under this Policy:

- Managing Director;
- Chief Financial Officer;

- Company Secretary & Compliance Officer; and
- Any other officer(s) specifically authorized by the Board from time to time.

The Authorized Persons may seek legal, financial, technical or professional advice whenever required for determining materiality.

In the event of urgency, any one Authorized Person may approve a disclosure subject to subsequent reporting to the Managing Director and/or the Board, as appropriate.

Responsibility Of Management

Every Director, Key Managerial Personnel, Senior Management Personnel, Functional Head and Subsidiary Management Representative shall promptly report any actual or potential material event or information to the Company Secretary or any Authorized Person immediately upon becoming aware of the same.

All concerned personnel are expected to promptly escalate potentially material information in accordance with this Policy and the Company's governance framework.

Events Deemed Material

The Company shall disclose all events specified under Schedule III Part A Paragraph A of the SEBI LODR Regulations without application of materiality criteria and within the prescribed timelines.

Such events shall be disclosed within the timelines prescribed under applicable regulations.

Determination Of Materiality

For events requiring application of materiality criteria under the SEBI LODR Regulations, the Company shall consider both quantitative and qualitative factors.

Quantitative Assessment

The Company shall apply the quantitative thresholds prescribed under Regulation 30 and related SEBI circulars as amended from time to time.

Qualitative Assessment

An event or information may be considered material if:

- Its omission is likely to result in a significant market reaction;
- Its omission may render publicly available information misleading or incomplete;
- It may influence the decision-making of investors or shareholders;
- It has the potential to materially affect the Company's business, operations, financial condition, prospects or strategy;
- It could adversely impact the Company's reputation or credibility;
- It may result in significant legal, regulatory or contractual consequences; or
- The Authorized Persons otherwise consider it material based on facts and circumstances.

The Company acknowledges that materiality is not always capable of precise measurement and therefore requires informed judgment.

Specific Events Requiring Heightened Review

Without prejudice to the requirements of law, the following matters shall be reviewed carefully for materiality:

- Regulatory investigations, inspections, show-cause notices or enforcement actions;
- Fraud, financial irregularities or misconduct involving directors, promoters, senior management or employees;
- Cybersecurity incidents including ransomware attacks, data breaches, unauthorized access, significant technology failures or disruptions affecting business operations.
- Significant litigation, arbitration or legal proceedings;
- Product quality failures or operational disruptions;
- Environmental, health and safety incidents;
- Significant customer, supplier or contract losses;
- Labour disputes affecting operations;
- Material defaults or delays in financial obligations;
- Matters affecting business continuity;
- Reputational issues receiving widespread public, investor or media attention.

Disclosure Of Material Developments

Where an event has been disclosed but remains ongoing, the Company shall continue to provide updates regarding material developments until the event is resolved, concluded or no longer material.

Disclosures shall present information in a balanced manner and shall avoid selective or misleading communication.

Disclosure Timelines

The Company shall disclose material events within the timelines prescribed under the SEBI LODR Regulations.

Events emanating from decisions of the Board of Directors shall be disclosed within the timelines prescribed by SEBI following conclusion of the meeting.

Other material events shall be disclosed as soon as reasonably possible and not later than the timelines prescribed under applicable regulations.

The Company shall provide regular updates on previously disclosed material events until such events are resolved, concluded or no longer material.

Market Rumours And Media Reports

The Company shall monitor significant market rumours, media reports, analyst reports and publicly available information relating to the Company.

Where required under applicable law or where the Company considers it necessary in the interest of maintaining an orderly market, the Company may confirm, deny, clarify or provide an update regarding such information.

The Company shall comply with all applicable requirements relating to verification of market rumours prescribed by SEBI and stock exchanges from time to time.

Confidentiality And Insider Trading Compliance

Prior to public disclosure, information relating to a material event shall be handled on a need-to-know basis.

All directors, officers and employees shall maintain confidentiality of unpublished information and comply with:

- The Company's Code of Conduct for Prevention of Insider Trading;
- Applicable provisions of the SEBI (Prohibition of Insider Trading) Regulations, 2015; and
- Other applicable confidentiality obligations.

Website Disclosures

All disclosures made to stock exchanges under this Policy shall be promptly uploaded on the Company's website.

Such disclosures shall remain accessible on the website for a minimum period prescribed under the SEBI LODR Regulations and thereafter in accordance with the Company's archival policy.

Records

The Company Secretary and Compliance Officer shall maintain appropriate records of materiality assessments, disclosures made to Stock Exchange(s), supporting documentation and correspondence relating to disclosures under this Policy in accordance with applicable laws and the Company's record retention requirements.

Interpretation

This Policy shall be interpreted in a manner consistent with applicable laws and regulations.

In the event of any inconsistency between this Policy and any statutory provision, regulation, circular, clarification or judicial pronouncement, the applicable legal requirement shall prevail.

Review Of Policy

The Board shall review this Policy periodically and may amend, modify or replace it as considered necessary.

Any amendment to the SEBI LODR Regulations or any other applicable law shall be deemed incorporated into this Policy from the effective date of such amendment, to the extent required.

Disclosure Of Policy

This Policy shall be made available on the website of the Company and shall be disclosed in accordance with applicable regulatory requirements.

Governance, monitoring and records

- Policy owner: Company Secretary & Compliance Officer. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors unless a law permits a delegated, non-substantive update.

After approval, the Company shall place the Policy or the required disclosure/web-link on its website and in corporate reports to the extent mandated by applicable law. Only the approved controlled copy may be published.